SCHEDULE GHG-ARR

GREENHOUSE GAS ALLOWANCE REVENUE RETURN

APPLICABILITY

This schedule is applicable, in combination with the customer's otherwise applicable rate schedule, to: 1) Residential customers, 2) Small businesses with monthly demand not exceeding 20 kilowatts in more than three months in a twelve-month period, 3) Customers identified by the California Air Resources Board (ARB) as Emissions-Intensive and Trade-Exposed Entities (EITE). Direct Access, Community Choice Aggregation, and Transitional Bundled Service customers are eligible to receive service on this schedule. This service is not applicable to customers on Schedule E-DEPART, unmetered, and lighting (except LS-2 AD) customers. Pursuant to Resolution E-5339, any recipient with 100 or more accounts in an IOU territory individually eligible for the Small Business California Climate Credit is ineligible to receive the Small Business California Climate Credit applied to any account in that territory.

TERRITORY

Applicable throughout the territory served by the Utility.

RATES

Pursuant to Commission Decision D.21-08-026 and D.26-04-036. T

1) Semi-Annual Credit

Eligible residential and small business accounts receive a semi-annual California (CA) Climate Credit. The credit will display on the customer's bill on the next scheduled bill date after the initial disbursement date. Master-metered rate schedules DM, DS, DT, and DT-RV receive one credit per sub-unit. Credits are issued to all active accounts receiving electrical service on the date the credit is given. One credit will be given per household, so accounts with more than one service point receive only one credit. The discount for customers qualifying for California Alternate Rates for Energy (CARE) will be calculated before the CA Climate Credit is applied to ensure no impact to the benefits of the CARE program.

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On April 30, 2026, D.26-04-036 required the three California IOUs to update distribution of the residential electric Climate Credit to be distributed in August and September beginning in 2026 and until otherwise directed.

Semi-Annual Credit Amount	$(49.36) T
Semi-Annual Credit Timing - Residential	August 1st and September 1st T
Semi-Annual Credit Timing – Small Business	April 1st and October 1st T

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RATES (continued)

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2) EITE Annual Credit

EITE Customers receive an annual allocation of GHG allowance revenue (CA Industry Assistance) from the State of California.

EITE Customer Designation: Pursuant to California Public Utility Commission (CPUC or Commission) Decisions (D.)12-12-033 and 14-12-037, an EITE Customer is defined as any entity in an industrial sector that qualifies for industry assistance under the California Air Resources Board's (CARB's) cap-and-trade regulation, including new market entrants as defined in D.14-12-037, regardless of the amount of emissions produced. Such entities are explicitly listed by North American Industry Classification System (NAICS) code. For the purposes of receiving GHG allowance revenue as an EITIE ("CA Industry Assistance"), the EITE Customer designation also includes (1) Small EITE Entities, which are defined as any facility that operates in a sector eligible for industry assistance that has annual direct emissions less than 25,000 $MTCO_2e$ (refer to Special Condition 6 below for special attestation requirements applicable to Small EITIE customers with annual direct emissions less than 10,000 $MTCO_2e$) and (2) Non-Covered Subsector Entities (refer to Special Condition 7 below for special attestation requirements). Bundled Service Customers, Direct Access Customers, Community Choice Aggregation Service Customers, Customers receiving Standby Service, and Customers that pay only Departing Load charges to SDG&E are all eligible to be designated as EITE for the purposes of receiving CA Industry Assistance. Customers previously designated as EITE that cease operations or that are no longer primarily dedicated to EITE-eligible industrial activities, as determined by the Commission's Energy Division, are not eligible to receive CA Industry Assistance on a going-forward basis.

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GREENHOUSE GAS ALLOWANCE REVENUE RETURN

2) EITE Annual Credit (continued) T

EITE Credit Amount Determination: An EITE Customer's annual CA Industry Assistance amount is determined by the Commission's Energy Division on a prospective basis pursuant to D.14-12-037, and the specific dollar amount of CA Industry Assistance calculated by the Energy Division for each EITE Customer is provided by the Energy Division to SDG&E. For EITE Customers that operate in multiple utility service territories, the amount of CA Industry Assistance is distributed in proportion to the Customer's purchases from each utility on an annual basis.

EITE Credit Disbursement: The annual GHG allowance revenue credit amounts are disbursed as a bill credit identified as "CA Industry Assistance" on the EITE Customer's April billing statement.[1] However, EITE Customers with direct emissions of 25,000 $MTCO_2e$ and higher may request to receive an annual check in lieu of the annual on-bill credit. Any EITE Customer that receives CA Industry Assistance via an on-bill credit may request a check for any remaining credit balance on the account.

Franchise Fees

A Franchise Fee Differential of 5.78% will be applied to the credits calculated under this schedule, for all customers residing within the corporate limits of the City of San Diego. The San Diego Franchise Fee Differential appears as a separate line item on bills.

SPECIAL CONDITIONS

1. Definitions. The definitions of principle terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Derived Demand. If demand for determining the eligibility of a small business is unavailable, or less than 50% of the 15-minute interval data is available, demand will be derived by dividing the total kilowatt hours by the number days in the billing period times 24 hours.

3. Net Surplus Compensation. Checks issued to NEM customers electing an off-bill payment for Net Surplus Compensation will incorporate any remaining CA Climate Credits. D T

4. Master-Metered Customers. Customers receiving service under this schedule shall comply with the provisions of Public Utilities Code 739.5 in providing service to their sub-metered tenants. t

1. The first disbursement of CA Industry Assistance to EITE Customers will take place in 2015, but may not occur with the April billing statement. This disbursement will include GHG allowance revenues, with interest as applicable, from 2013, 2014 and 2015.

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SCHEDULE GHG-ARR

GREENHOUSE GAS ALLOWANCE REVENUE RETURN

SPECIAL CONDITIONS (continued)

5. Attestation Process for Customers with Direct Emissions less than 10,000 $MTCO_2e$: Customers with direct emissions of less than 10,000 $MTCO_2e$ per account are required to attest to the Commission that their business is primarily engaged in activities described by an EITE-eligible NAICS code in order to be designated as EITE for the purposes of receiving CA Industry Assistance. Customers who successfully attest will begin receiving CA Industry Assistance as an EITE Customer for the next calendar year on a prospective basis[2], and their eligibility will persist for the duration of the cap-and-trade compliance period.[3] Customers that successfully demonstrate eligibility in 2015, or the first year when the attestation process is available, will receive an allocation of revenue to address GHG costs associated with 2013, 2014 and 2015. Customers will have an opportunity to make an attestation to the Commission on an annual basis. The attestation provisions outlined herein are subject to modification by the Commission. T

6. Special Provisions for Non-Covered Subsector Entities: For the purposes of receiving CA Industry Assistance, Customers that operate a facility primarily in an industry that matches a six-digit NAICS code included in Table 8-1 of CARB's cap-and-trade regulation but that are not designated as covered entities are eligible to be designated as EITE, even if the industry's activity does not match one of the subsector activities included in Table 8-1 of CARB's cap-and-trade regulation (Non-Covered Subsector Entities). In order to receive CA Industry Assistance, Non-Covered Subsector Entities must attest to the Commission that they operate in a sector or subsector that has the same six-digit NAICS code as other sectors eligible to receive industry assistance under CARB's cap-and-trade regulation. Customers who successfully attest will begin receiving CA Industry Assistance for the next calendar year and their eligibility will persist for the duration of the cap-and-trade compliance period[4]. Customers will have an opportunity to make an attestation to the Commission on an annual basis. The attestation provisions outlined herein are subject to modification by the Commission. Further, upon completion of a future Commission study designed to assess the leakage risk associated with Non-Covered Subsector Entities, if any such subsector activities are found to not pose a leakage risk, then the Non-Covered Subsector Entities participating in those industrial subsector activities that may have previously received GHG allowance revenue as EITE Customers will no longer receive GHG allowance revenue as EITE Customers on a going-forward basis beginning with the next calendar year after the study is completed. T

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2. Customers that successfully complete the attestation process in 2015, or the first year the attestation process is available, will receive CA Industry Assistance to address GHG costs associated with 2013, 2014 and 2015, with interest as applicable, net of any Small Business CA Climate Credits received for the electricity usage registered on any account associated with the EITIE eligible facility in 2013-2015 T
3. The cap-and-trade program is divided into three compliance periods: 2013-2014, 2015-2017, and 2018-2020.
4. See Footnote 2.

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GREENHOUSE GAS ALLOWANCE REVENUE RETURN

SPECIAL CONDITIONS (continued)

7. Special Provisions for Customers that are Both Small Business and EITE: Customers with accounts that meet the eligibility criteria for the Small Business Customer California Climate Credit, as defined above and in Rule 1,, will be treated solely as Small Business for the purposes of receiving GHG allowance revenue and will receive a Small Business CA Climate Credit. If a Customer is designated as EITE, none of the Customer's electricity usage for any of the electricity associated with the EITE-eligible facility will be credited with the Small Business CA Climate Credit.[5] Any Customer with direct emissions less than 10,000 $MTCO_2e$ that has accounts eligible to receive GHG allowance revenue as both a Small Business Customer and an EITE Customer will only receive the Small Business CA Climate Credit for such accounts until the Customer attests to the Commission that it is EITE-eligible, pursuant to Special Condition 6 above. Customers who successfully attest will begin receiving CA Industry Assistance as an EITE Customer for the next calendar year and will no longer receive the Small Business CA Climate Credit for any of the accounts associated with its EITE-eligible facility.[6] Their EITE designation will remain in effect for the duration of the cap-and-trade compliance period. T T T T

[5] For 2013-2015, the amount of GHG allowance revenues received by an EITE Customer will reflect a deduction of the amount of Small Business Customer California Climate Credit received for any account associated with the EITE-eligible facility in 2013-2015.

[6]. Customers that successfully complete the attestation process in 2015, or the first year the attestation process is available, will receive CA Industry Assistance to address GHG costs associated with 2013, 2014 and 2015, with interest as applicable, net of any Small Business CA Climate Credits received for the electricity usage registered on any account associated with the EITIE eligible facility in 2013-2015. T